DSEH004 · PERFORMANCE MANAGEMENT AND EMPLOYEE ENGAGEMENT

Make or Buy: Internal Mobility and the Career Plateau

Week 9 · Lecture 2 · Internal labor markets, tournaments, plateau theory and the Peter principle

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L2 · CAREERS AND MOBILITY

A career system is a theory of where tomorrow's capability comes from.

L2 · COMMIT BEFORE THEORY

BT 2026200 has spent seven years at mid level in Engineering. Is the plateau about the person, the structure, or the job?

Choose one. We will test it against four theories.

Internal labor markets and human capital

DOERINGER AND PIORE (1971)

Internal labor markets

Hiring happens at a few ports of entry; jobs above are filled from within along job ladders, with rules rather than open market prices.

BECKER (1964)

General versus specific skill

Firms pay for skills that are worth more inside the firm than outside. Specific skill ties employer and employee together.

Prediction: where knowledge is firm specific, promoting from within should beat hiring from outside. Is that true?

Bidwell (2011): paying more to get less

Pay

External hires into comparable jobs were paid about 18 percent more than internal promotees.

Performance

External hires received lower performance evaluations for their first two years.

Profile

They arrived with more education and experience, the very signals that justify the premium.

Exit

External hires were more likely to leave, so part of the premium was never recovered.

Bidwell, M. (2011). Administrative Science Quarterly, 56(3), 369 to 407

Tournament theory

LAZEAR AND ROSEN (1981)

Promotion as prize

Pay is set by rank, not by output, so the gap between levels is a prize that motivates everyone below.

LAZEAR AND ROSEN (1981)

The convex structure

Prizes rise steeply near the top to keep effort high in later rounds of the contest.

IMPLICATION FOR THE PLATEAU

The cost

Those who judge themselves out of contention lose the incentive. A flattened structure removes the prize.

Ference, Stoner and Warren (1977); Bardwick (1986)

CURRENT PERFORMANCE	LOW CHANCE OF PROMOTION	HIGH CHANCE OF PROMOTION
High	Solid citizens: plateaued but effective, the largest group	Stars
Low	Deadwood	Learners: new, not yet effective

Bardwick adds the cause: a structural plateau (no rung above), a content plateau (nothing new to learn), or a life plateau. Each needs a different design.

L2 · TALENT ON DEMAND

Cappelli: treat talent like a supply chain

Make and buy

Develop internally where demand is predictable; buy from outside to cover uncertainty.

Small batches

Shorter development cycles reduce the cost of forecasting errors.

Share the cost

Let employees co invest in development to raise the return.

Balance interests

Internal mobility keeps the investment from walking out of the door.

Cappelli, P. (2008). Harvard Business Review, 86(3), 74 to 81; Cappelli (2008), Talent on Demand

Posting, slotting and the Peter principle

KELLER (2018)

Posting beats slotting

Open internal posting produced better performing hires than managers slotting people they already knew.

MECHANISM A MARKETPLACE TARGETS

Talent hoarding

A manager who loses a strong performer bears the cost, so the manager's incentive works against mobility.

BENSON, LI AND SHUE (2019)

The Peter principle

The best salespeople were most likely to be promoted, and their teams then performed worse.

ALLEN AND KATZ (1986)

Dual ladders

A technical ladder keeps experts without forcing management, but loses credibility if it becomes a consolation prize.

Careers the person steers

HALL (2004)

Protean career

Driven by the person's own values, judged by psychological success rather than rank.

ARTHUR AND ROUSSEAU (1996)

Boundaryless career

Moves across firms, functions and networks; the firm is no longer the frame.

BENKO AND WEISBERG (2007)

Lattice

Lateral and diagonal moves are legitimate progress, not detours.

Tension: the firm wants to retain specific skill; the protean employee wants portable growth. A mobility system is a settlement between the two.

Same case, four theories: BT 2026200

THEORY	DIAGNOSIS OF THE SEVEN YEAR PLATEAU	DESIGN IT IMPLIES
Tournament	The next prize looks unreachable	Make the contest visible and winnable
Internal labor market	No port to a new job family	Open lateral ports and posting
Plateau (content)	Nothing new to learn in the role	Job crafting or project rotation
Protean career	Values have shifted away from rank	Self directed moves, even outward

Round 5 options 5B, 5C and 5D each rest on one of these. Which theory does your pod actually hold?

L2 · CLOSE

If Bharat Textiles hires its next engineering lead from outside, what does Bidwell predict, and what would make that prediction wrong here?

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